

ECON 4660 Midterm Essay · Fall 2026

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ECON 4660 / 8666 · Fall 2026

Midterm essay

Date: Monday, October 12, 2026 · in class

Coverage: Perkins ch. 1–4 and 6–9 (lectures through Oct 5). Saving/investment and later chapters are not on this exam.

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Instructions

- Write one essay. Budget about 60–75 minutes.
- Closed book and closed notes. No phones or laptops.
- Undergraduate answers: about 3–4 pages of blue-book writing. Graduate students (8666): answer the extra part as well.
- Use the concepts from lecture and Perkins. Named examples and stylized facts help; a country list without economics does not.
- You do not need a bibliography. If you use a number from lecture or Problem Set 1, say so in one clause.

Essay question (all students)

Since 1960 some poor countries have grown rapidly and others have not. Using the material we have covered, write a single coherent essay that answers:

What determines whether a poor country can raise living standards over a generation, and why is faster GDP growth not enough by itself?

A complete answer will do all of the following. You may use these as an outline, but write in essay form, not as a numbered worksheet.

1. **Measurement.** Distinguish economic *growth* from economic *development*. Explain why GDP (or GNI) per capita, even in PPP terms, is an incomplete measure of living standards. Bring in at least one other indicator we used (for example literacy, life expectancy, or a composite index such as HDI).
2. **Sources of growth.** Use the Solow framework (and, if useful, one endogenous-growth idea) to organize the roles of physical capital, labor, and productivity (TFP). Relate this to growth accounting: what the decomposition can and cannot tell us. You may refer to the China / India / Korea / Thailand exercise from Problem Set 1 if it helps.
3. **Poverty and inequality.** Explain the difference between poverty and inequality. Discuss one channel through which a very unequal distribution can slow development, and one reason growth might still reduce poverty even if inequality does not fall.

4. **People.** Use the demographic transition and human capital (education and/or health) to explain how population change and investment in people can raise or stall living standards. Be concrete about a mechanism (for example dependency ratios, returns to schooling, or the quality of schooling versus years of schooling).

Close with a short judgment: if you had to name the binding constraint for a typical low-income country in our readings, would you emphasize physical capital, productivity, demography, or human capital—and why? One paragraph is enough.

Additional part (ECON 8666 only)

In about one extra page, take a stand on this claim:

“If TFP growth is the main remaining difference between rich and poor countries, then the highest-return policy is whatever raises TFP, not more machines or more classrooms.”

Use the Solow logic (diminishing returns, catch-up, the residual) and at least one human-capital or poverty argument from class. You may agree, disagree, or qualify the claim, but you must say what evidence would change your mind.

How it will be graded

	What I am looking for
Argument	A clear answer to the title question, not a tour of every slide
Tools	Correct use of growth vs development, Solow/TFP, poverty vs inequality, demography or human capital
Evidence	At least two concrete facts or examples from lecture or PS1
Writing	Readable paragraphs; labels on any diagram you draw

A diagram is welcome (Solow steady state, demographic transition, Kuznets curve) if it does work in the argument. An unlabeled picture does not.

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